

China's digital currency revolution and implications for international business strategy

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As if [Covid-19](#) and the [trade war](#) hasn't done enough to upend global business between the US and China, yet another major transformation is afoot: the launch of China's sovereign (i.e., central-bank offered) digital currency (CBDC). By "digital currencies" we mean financial transactions that are recorded on blockchain ledger and held in digital wallets. While Facebook's Libra and other digital currency firms [have received increasing attention](#), private firms are in fact unlikely to truly dominate the digital currency trade. Instead, *sovereign digital currency* – namely, the "Digital Currency Electronic Payments" (DCEP) system – managed by the People's Bank of China (PBoC), China's central bank, has taken the clear lead in this space. In this article, we briefly discuss why and how China's DCEP is leading the digital currency revolution and what this means for international business.

Why and how China's DCEP is leading the digital currency revolution

Although privately-operated digital currencies are entering the market, sizeable regulatory, technical, and user hurdles continue to prevent their rapid and widespread adoption. Outside of China, digital currencies are taking the form of unregulated "stablecoins" offered by private companies. However, because the threat of regulation looms large, these private stablecoins are fraught with incredible risk. Moreover, it is uncertain if these currencies are even fully backed by fiat. These reasons alone leave many businesses and consumers unwilling to use such currencies. What's more, the basic challenge of setting up digital wallets and managing private digital keys often turn people away from digital currencies.

In this void, China's DCEP – itself a stablecoin, but one backed 1:1 by the PBoC with fiat Chinese yuan (CNY)/renminbi (RMB) – offers the public confidence unobtainable by private digital currencies. China's DCEP system follows a "two layer" approach. First, and critically, as a sovereign digital currency, the PBoC is the *only* issuing party of DCEP. Second, to expeditiously diffuse the currency, the PBoC issues DCEP to select retail banks and non-financial institutions (e.g., Alibaba, Tencent, and Union Pay) in China with strong pre-existing mobile payment networks, who then merely

distribute the currency to the general public. Businesses across China will be required by law to accept DCEP as payment. Such regulatory legitimacy – combined with the Chinese state’s track record of rapid institutional innovation; Chinese public support of institutional experimentation; [Chinese firms’ strong competitiveness in digital ecosystems](#) and [capabilities to quickly adapt to changing technological paradigms and institutions](#); and a massive Chinese population [who quickly adopts new digital technologies](#), and in fact lead the world in [adopting mobile payment applications](#) – positions DCEP to become the world’s most widely used digital currency.

Moreover, although central banks in several other countries have also been studying digital currencies, none have taken the lead to actually develop and rollout a CBDC at the scale occurring in China. DCEP will be used for purchases in all sectors across all of China. To start, as of mid-2020, DCEP has been piloted in the Chinese cities of Shenzhen, Chengdu, Suzhou and Xiong’an – potentially reaching over 42 million people, more than Canada’s entire population. Elsewhere in China, DCEP is already in the process of being piloted in the restaurant and hospitality sectors, with foreign multinationals such as McDonald’s, Starbucks, and Subway already signing up to participate. Further, DCEP trials are already being conducted around China to reimburse public sector employees’ travel costs. Yet other pilot initiatives, such as a commitment to use DCEP at venues for large-scale upcoming events in Beijing, are in place.

Meanwhile, the Chinese government recently proposed to create a regional digital currency backed by the Chinese RMB/yuan, Japanese yen, South Korean won, and Hong Kong dollar – with the DCEP at the center. And China’s multi-trillion dollar Belt and Road Initiative (BRI) offers a network to extend DCEP in countries around the globe.

Implications for global strategy

Businesses should prepare for DCEP’s rollout in two main ways:

First, they must ensure that they have appropriate infrastructure in place to accommodate DCEP, such as digital wallets. Contracts with third-party financial custodians can also be helpful. On the upside, to facilitate swift legal compliance with DCEP – considering that its acceptance is

being required by law in China – the Chinese authorities may integrate DCEP with popular existing digital wallets already widely used by many businesses in China, namely Alipay and Wechat Pay.

Second, businesses may need to explore interoperability options when conducting cross-border trade. Such action may be needed in the longer term if DCEP leads to an alternative international payments system vis-à-vis the current US-led system, which is a probable prospect.

Meanwhile, firms who timely prepare for China's DCEP rollout can seize several significant opportunities:

First, as previously alluded to, the expansion of DCEP will facilitate the internationalization of the CNY/RMB. In doing so, the CNY/RMB will provide a strong alternative institution to rival the current USD-dominated international payments system.

Second, by facilitating direct transactions between digital wallets, DCEP will eliminate sizeable banking clearing and settlements costs. In other words, 'payment is settlement' with no need for separate clearing and settlement processes.

Third, DCEP will offer firms new ways of raising capital and secondary trading via the issuance of digital securities and disintermediated trading on exchanges. Digital securities are regulated financial instruments such as equities or bonds where the transaction and shareholder details are recorded on the blockchain ledger. As a stable currency, DCEP will be used to reduce or eliminate the clearing and settlement processes associated with trading digital securities on secondary exchanges. In turn, this will provide firms and investors easier access to digital financial instruments.

Fourth, DCEP's development will catalyze fintech innovation, giving rise to hybrid products that draw on both traditional markets and digital currencies. Greater numbers of innovative structured products are appearing in the digital currencies market, where the underlying asset is a native digital currency, such as Bitcoin, but the payoffs are based on traditional structured products. DCEP will serve as a reliable alternative underlying-asset in the future, stimulating the creation of more hybrid financial products.

Fifth, and not least, aggregate demand may rise as a result of DCEP's rollout. DCEP adoption will allow governments to rapidly deploy "helicopter money" to the public without requiring bank accounts. This will empower the previously unbanked to form a new group of consumers.

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Bios

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